



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 15

VALUE CHAIN STRATEGY



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

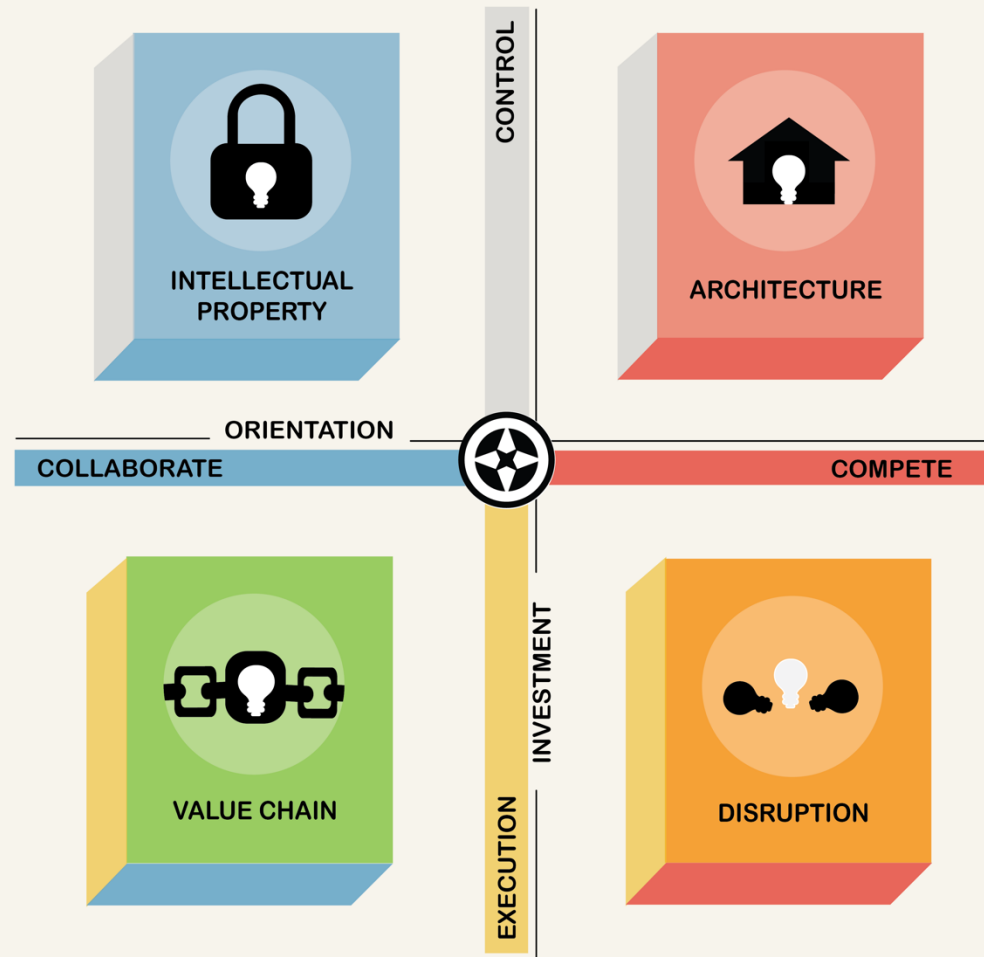
Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam

CHOOSING YOUR ENTREPRENEURIAL STRATEGY



Value chain strategy

- By definition, a value chain strategy involves a startup that is invested in execution (similar to a disruption strategy) but is oriented towards collaboration with established firms in the industry (similar to an IP strategy).
- The central challenge of a value chain strategy is figuring out how to implement the startup's idea to **reinforce and enhance the value of an existing incumbent**,
AND
at the same time, **establish and maintain bargaining power within that value chain**.
- The goal of a value chain entrepreneur is to become the **preferred provider** to businesses in **other segments of the value chain**.



Capitalized with great fanfare as a disruptive start-up aimed at overturning traditional grocers. Positioned as an integrated substitute for traditional supermarkets.

web



With a much smaller capitalization, and focusing on online grocery delivery using existing chains, Peapod positioned itself as a complement to traditional supermarkets.

Pea

Peapod

- Grocery shopping meets the internet!
- Founded in 1989 by Andrew and Tom Parkinson
- Among the early internet startups
- Focused on an annoying part of the grocery shopping value chain: delivery
- Partnering with Jewel, Kroger, Randall's, and Safeway, it became the largest grocery delivery company in the US.



Choosing your customer



**CHOOSE YOUR
CUSTOMERS**

- A value chain entrepreneur must create value for a group of customers who are being served by the firm with whom you partner.
- This value creation could be in the form of:
 - Enhanced value creation for an emerging segment that they are interested in serving,
 - Reducing costs

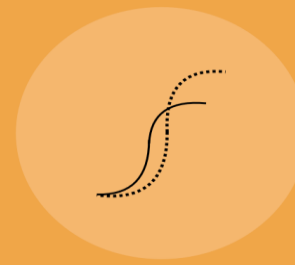
Choosing your customer



- Rather than serving “fringe” customers, value chain entrepreneurs should seek to articulate a position that will be meaningful for customers already being served by an existing firm.
 - Garmin v. Navteq
- A value chain entrepreneur can take advantage of a significant period of experimentation and learning in working with their partner and final customer to identify exactly how (and for exactly whom) one should target their offering.
 - Drug delivery systems



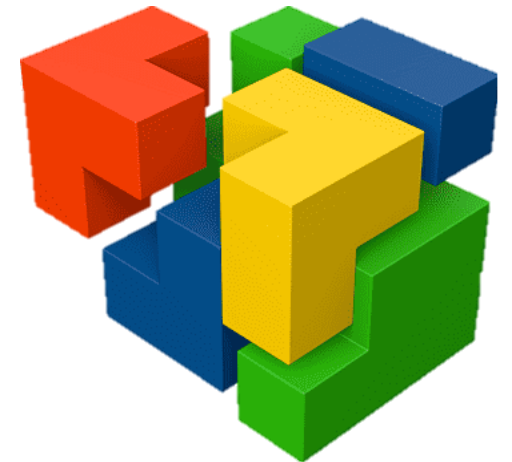
Choosing your technology



CHOOSE YOUR
TECHNOLOGY

- A value chain entrepreneur should find a promising technology that incumbent firms have yet to exploit,
AND,
at the same time, it must be possible to integrate this new technology in the established systems.
- Therefore, for value chain entrepreneurs, **modularity** of the business is key!
- **Modules:** “modules are units in a larger system that are structurally independent of one another, but work together.”

Design Rules, Baldwin & Clark (2000)

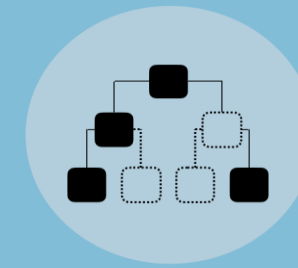


Choosing your competition



- Value chain entrepreneurs are oriented towards collaborating with existing firms to enhance the value received by end users.
- Bargaining power is key! For value chain entrepreneurs, the ability to **negotiate favorable terms** with **established firms** can determine the success of these partnerships. By positioning themselves as indispensable contributors to the value chain—whether through unique technology, specialized services, or innovative processes—entrepreneurs can strengthen their bargaining power.
- Here, the important choice in terms of competition is centered around “whom to partner.”

Choosing you identity



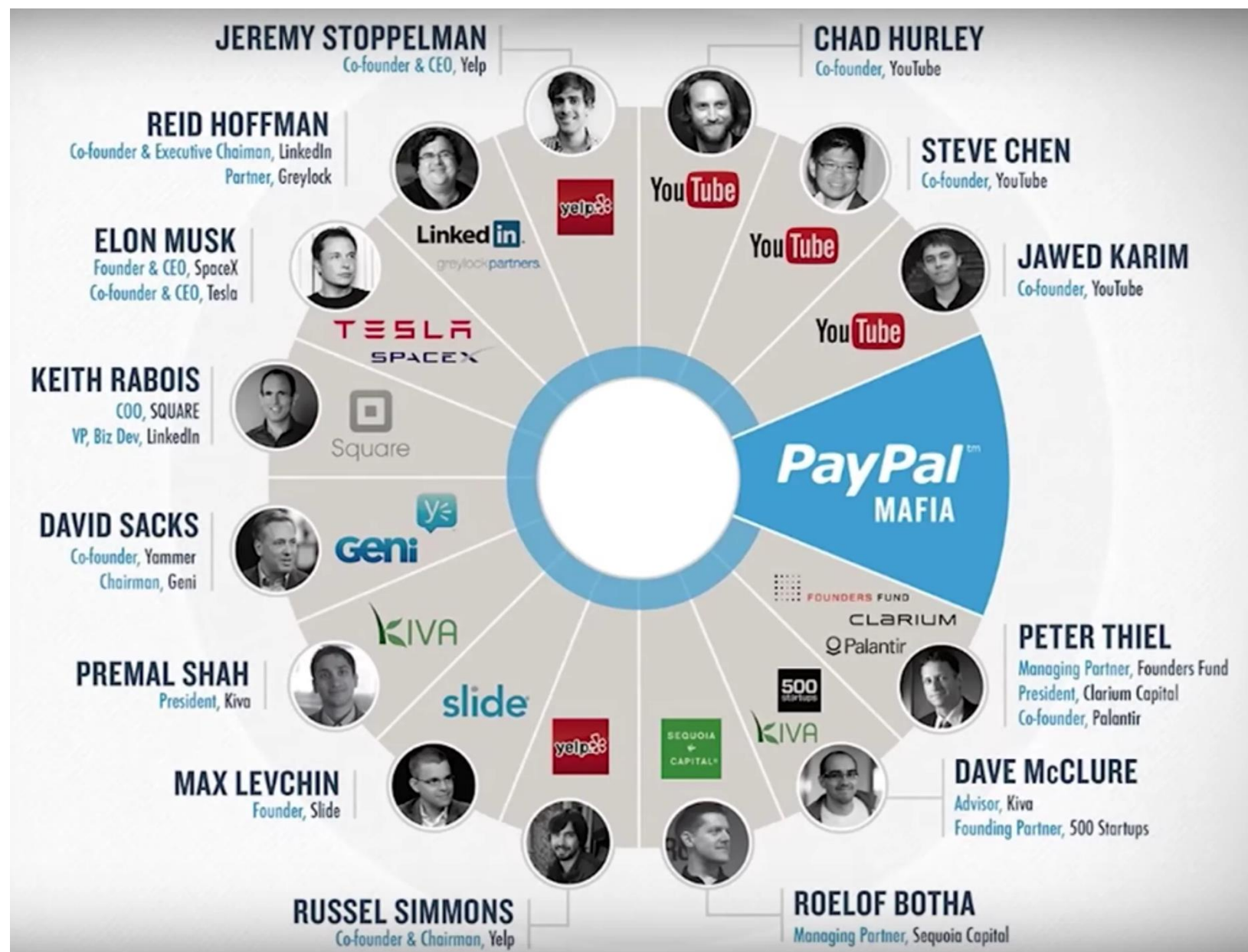
CHOOSE YOUR ORGANIZATION

- The organization of a value chain startup is centered on developing and growing its “core competency.”
- A core competency is a **unique capability or advantage** that a company possesses, which **sets it apart from its competitors** and contributes significantly to its **long-term competitive advantage**. Core competencies are typically a combination of **pooled knowledge, technical expertise, and processes that enable a firm to deliver unique value to customers**.
- Value chain startups form an organization around fulfilling an **irreplaceable function** in the value chain through their **functionally specialized team** developing **their own unique capabilities**.
- Consider PayPal



“We had an incredible team at PayPal. 4 years after the fact, I think it is far more incredible than we realized at the time.”

Peter Thiel



THANK YOU!